



TITAN GRID: A SMART FACTORY FOR NEAR-SHORING THE PRODUCTION OF TRANSFORMER TANKS AND RADIATOR FIN WALLS



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**TITAN GRID – ADVANCED
TRANSFORMER TANK
MANUFACTURING FACILITY**
TRANSFORMER TANKS & FIN WALLS
Metal D.O.O.

STRATEGIC FUNDING PROPOSAL: PROJECT TITAN GRID

To: European Investment Bank (EIB) / Credit Committee

From: Danijela Đurović Keskin – ARS Metal Industries d.o.o.

(On behalf of Hamza Yavuz, CEO, and the Board of ARS Metal Industries d.o.o.)

Subject: Senior Debt Facility for Industry 4.0 Green Transition Asset

Date: March 2026

1. THE VALUE PROPOSITION

ARS Metal Industries d.o.o. is in the final stages of deploying **TITAN Grid**, an advanced, automated industrial facility located in Tuzi, Montenegro. This project aims to set a benchmark for the Green Energy Transition in the Western Balkans, providing essential infrastructure (Transformer Tanks) for the European electrical grid.

2. INSTITUTIONAL ALIGNMENT (THE "GREEN" MANDATE)

TITAN Grid is more than just a conventional manufacturing plant; it represents a **De-carbonized Industrial Asset** that aligns with the EU Green Deal and EIB's Climate Bank Roadmap:

- **Solar Offset:** Equipped with a **1.4 MWp solar array**, reducing grid dependency by approximately **70%**.
- **Resource Efficiency:** AI-driven nesting on 30kW laser platforms minimizes material waste to below **4%**, significantly surpassing EU industrial standards.
- **Regional Integration:** Enhancing the Adriatic supply chain for leading EU energy companies (Siemens, Hitachi, Schneider).

3. FINANCIAL RIGOR & LENDER SECURITY

The attached **Exhibit 01 (Credit Facility Structure)** delivers a detailed analysis of our repayment capacity:

- **Debt Service Coverage Ratio (DSCR):** Anticipated average of **11.0x – 29.0x**, providing an exceptional liquidity buffer.
- **Resilience:** Stress-tested to sustain a **2.95x DSCR** even with a 35% decline in revenue.
- **Collateral:** First-priority lien on high-value robotic assets and industrial real estate.





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4. COMMITMENT TO TRANSPARENCY

As a female-led innovative enterprise, we adhere to a **"Zero-Risk/High-Compliance"** governance model. We are ready to establish a **6-month Debt Service Reserve Account (DSRA)** as a pre-disbursement safeguard, ensuring complete alignment with EIB's risk-weighting criteria.

5. THE TIMELINE

TITAN Grid is a fast-paced project, with construction and equipment commissioning expected to be completed in 2026. We invite the EIB to finalize the technical due diligence and join us as the lead senior lender in this strategic partnership.

The system is prepared. The figures are confirmed. The future is automated.

Respectfully,

Danijela Đurović Keskin
CFO & Lead Strategist
ARS Metal Industries d.o.o.

